

5. Cicale v. LoanDepot.com, LLC
26-1544409

Before the Court are: (1) the Motion to Dismiss or Stay on Forum Non Conveniens Grounds ("Motion 1") and (2) the Demurrer to First Amended Verified Complaint ("Motion 2"), both filed on 4/22/26 by Defendant loanDepot.com, LLC ("Defendant").

Motion 1: The Motion to Dismiss

On Motion 1, Defendant asserts that this action should be dismissed or stayed, to instead be addressed in Arizona, on forum non conveniens grounds.

A trial court considering a *forum non conveniens* issue engages in a two-step process, the first of which is to determine whether a suitable alternative forum exists. Where there is a suitable alternative forum, the court proceeds to the next step, consideration of the private interests of the parties and the public interest in keeping the case in California. (*National Football League v. Fireman's Fund Ins. Co.* (2013) 216 Cal.App.4th 902, 917.) The parties here do not dispute that Arizona is a suitable alternative forum but disagree as to whether the case should remain in California.

There is ordinarily a strong presumption in favor of a plaintiff's choice of forum, although "less deference" is given to foreign plaintiffs. (*Stangvik v. Shiley Inc.* (1991) 54 Cal.3d 744, 753.) Here, Plaintiff West Capital Lending, Inc. ("WCL") is a California entity. (FAC ¶ 15.) Defendant is also based in California. (FAC ¶ 16.) The entire action is also based on California statutes reflecting California public policy. Under the circumstances shown here, the Court does not find that the requested relief is warranted. The Motion is therefore **DENIED**.

Defendant's Request for Judicial Notice is **GRANTED** under *Ev. Code* §452(c) as to the existence of the records, but not as to the truth of facts asserted therein. (*Fontenot v. Wells Fargo Bank, NA* (2011) 198 Cal.App.4th 256, 264; *Arce v. Kaiser Foundation Health Plan, Inc.* (2010) 181 Cal.App.4th 471, 482.)

Motion 2: The Demurrer

Defendant argues that the entire action is based on its litigation activity in Arizona and thus barred by the litigation privilege. But the action is not on its face so limited, as it also asserts that Defendant violated *Bus. & Prof. Code* §16600 *et seq.* by requiring the individual plaintiffs to sign contracts with restrictive covenants and thus limit competition with WCL. (See *e.g.* FAC ¶¶ 47, 54.) In addition, courts have found exceptions to the litigation privilege based on irreconcilable conflicts between the privilege and other coequal state laws. (*Action Apartment Assn., Inc. v. City of Santa Monica* (2007) 41 Cal.4th 1232, 1246; *People v. Persolve, LLC* (2013) 218 Cal.App.4th 1267, 1274; *People v. Potter Handy, LLP* (2023) 97 Cal.App.5th 938, 955.) Defendant has not shown that such an exception could not apply here.

		Defendant also argues that <i>Bus. & Prof. Code §16600.1</i> and <i>§16600.5</i> do not apply to the claims of individual plaintiffs who signed the relevant agreements prior to 1/1/24. But under <i>§16600.5(a)</i>, any “contract that is void under this chapter is unenforceable regardless of where and when the contract was signed.” In addition, Defendant is alleged to have violated <i>§16600.5</i> through conduct occurring after 1/1/24. (FAC ¶¶ 37, 42, 43.) Defendant also argues that claims asserted here by the individual Plaintiffs should have been asserted as compulsory counterclaims in Arizona, if the claim arises out of the transaction or occurrence that is the subject matter of the opposing party's claim, and does not require adding another party over whom the court cannot acquire jurisdiction. (ROA 80, at pp. 14-15.) But whether some or all of the individual Plaintiffs are currently parties to an Arizona action brought by Defendant, whether any counterclaim they might present would require inclusion of WCL, and whether the Arizona court could acquire jurisdiction over WCL, are beyond the scope of demurrer. Finally, Defendant argues that <i>Bus. & Prof. Code §16600 et seq.</i> and <i>§17200</i> cannot apply here, because the individual plaintiffs work in and reside in Arizona. However, <i>§16600.5</i> expressly applies “regardless of whether the contract was signed and the employment was maintained outside of California.” In addition, under <i>Bus. & Prof. Code §16600.1(c)</i>, “[a] violation of this section constitutes an act of unfair competition within the meaning of Chapter 5 (commencing with Section 17200).” For purposes of demurrer, Defendant has not established that the claims at issue are nonetheless necessarily barred. The Demurrer is therefore OVERRULED. Defendant is to file its Answer to the FAC within 10 days, and give notice of these rulings.
6.	Ahmad v. Emberson 25-1505471	A) Demurrer Defendant Tom Emberson’s (“Defendant”) demurrer to plaintiffs Maryam Ahmad and Lawrence Waldburger’s (“Plaintiffs” together) First Amended Complaint (“FAC”) is SUSTAINED in part and OVERRULED in part. Overruled as to causes of action (“COA”) nos. 3 and 8. Sustained as to COA no. 6. The court first notes Defendant’s demurrer is improper as it does not correctly identify the COA Defendant is demurring to. The court will proceed on the merits. Defendant demurs COA nos. 3, 6, and 8 due to lack of sufficient facts. (<i>Civ. Proc. Code § 430.10(e)</i>). Defendant also demurs to all COA based on uncertainty as the FAC “implicates” the statute of limitations. 1) <i>Insufficiency of Fact</i> a) COA No. 3 – Negligence Per Se